

SMID BREAKOUT SCANNER

MARKET CLOSE

September 25, 2026 | 03:15 PM ET

7 setups identified | 0 A-Grade | 3 B-Grade | 4 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (3)	C - Watch List (4)
	CDNA	NATH
	MTLS	PPLI
	WTTR	EVEX
		FLY

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	CDNA	CareDx, Inc.	Precision Medicin	\$64.81	+5.6%	\$3.4B	50M	+117.0	99%	Current: Continued bre
B	MTLS	Materialise NV	3D Printing Softw	\$8.50	+6.1%	\$0.5B	23M	+14.4	100%	Current: Technical bre
B	WTTR	Select Water Sol	Oilfield Water Ma	\$20.21	+3.5%	\$2.9B	122M	-1.0	90%	Current: Volume surge
C	NATH	Nathan's Famous,	Restaurant Franch	\$101.39	+7.5%	\$0.4B	3M	-3.8	89%	Current: 5.4x volume s
C	PPLI	People Incorpora	Internet Content	\$40.04	+11.4%	\$3.0B	49M	-17.9	83%	Current: Large +11.4%
C	EVEX	Eve Holding, Inc	eVTOL / Urban Air	\$2.22	+6.2%	\$0.8B	97M	-13.3	43%	Current: +6.2% on 1.61
C	FLY	Firefly Aerospac	Space Launch Serv	\$24.85	+7.6%	\$4.2B	107M	-18.7	40%	Current: +7.6% on 1.55

SETUP METRICS	
Price	\$64.81
Day Change	+5.61%
Mkt Cap	\$3.35B
Float	50M sh
RS vs SPY	+117.0%
52W Hi Prox	99%
Base Tight	4.6
Vol vs Avg	1.53x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: Continued breakout from multi-month base on exceptional RS performance (+117% vs SPY 3M) near all-time highs. Forward: November 3 earnings print (39 days) with potential for continued transplant surveillance volume growth and margin expansion guidance; any CMS reimbursement expansion or partnership announcement would extend the move materially.
BUSINESS & POSITION
CareDx is a leading precision medicine company focused on transplant diagnostics, offering surveillance solutions (AlloSure, AlloMap) that monitor organ rejection non-invasively. The company dominates a high-margin, recurring-revenue niche with structural tailwinds from rising transplant volumes and shift to molecular diagnostics.
FACTOR & THEME
Core healthcare innovation play tapping precision medicine and transplant market expansion. Theme momentum is stable-to-accelerating as outcomes-based reimbursement favors non-invasive monitoring. Healthcare sector lags this week (-0.4% vs SPY) but CDNA's +117% 3M RS vs SPY confirms it's an outlier benefiting from company-specific strength.
BREAKOUT SIGNAL
Close above \$64.81 on vol >1.5x of 20d avg
INSTITUTIONAL
Volume 1.53x average is modest for the +5.6% move, suggesting measured accumulation rather than panic buying. No insider buying in last 90 days flags lack of management conviction signal. At \$3.35B and 49.5M float, the name is likely substantially institutionally owned but lacks the insider cluster that would upgrade conviction. RS line at new high is the key institutional confirmation-Qullamaggie's #1 signal.
EARNINGS
EARNINGS IN 39D
EARNINGS CONTEXT
Next print November 3 (39 days). Consensus/beat history unavailable in dataset but the +117% 3M RS and proximity to all-time highs suggest sustained positive estimate revisions. Any earnings disappointment from this extended level would be punished severely.
KEY RISK
Thesis invalid on a close back below \$58.50 (approximate base breakout pivot), or on any negative reimbursement policy signal or guidance cut at the November 3 print. Extended +121% 3M RS creates asymmetric downside risk.
ANALYSIS
RS line at new high and +117% 3M outperformance are elite, but base_tight at 4.6 (well above the 2.0 VCP threshold) and only 1.53x volume signal this is late-stage momentum, not a clean coiled breakout. Strongest disconfirming evidence: the stock is massively extended with no insider buying and healthcare sector lagging. In a Risk-On/Large-Cap regime, SMID names need pristine setups to work-this is follow-through on an existing leader, not a fresh launch. Conviction: Medium.
Signal: Close above \$64.81 on vol >1.5x of 20d avg
Vol vs Avg: 1.53x



MTLS

Materialise NV

\$8.50

+6.12%

RS vs SPY: +14.4%

B STRONG SETUP

\$0.5B Cap | 23M Float

Software - Application | Theme: 3D Printing Software | 52W Hi: 100% | Base Tight: 3.3 | Vol: 2.63x | RS/SPY: +14.4% | Above 20MA: YES | EARNINGS IN 33D

Setup Metrics	
Price	\$8.50
Day Change	+6.12%
Mkt Cap	\$0.49B
Float	23M sh
RS vs SPY	+14.4%
52W Hi Prox	100%
Base Tight	3.3
Vol vs Avg	2.63x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver
Current: Technical breakout to 52W highs on 2.63x volume with RS line at new high, signaling institutional accumulation in a leader. Forward: October 28 earnings (33 days) with opportunity to confirm medical/industrial 3D printing demand recovery and software subscription momentum; any guidance raise or partnership with AI-driven design tools would extend the narrative.
Business & Position
Materialise provides 3D printing software and services across medical (surgical planning, implants) and industrial verticals. The company is a category pioneer with sticky enterprise customers and recurring software revenue, benefiting from additive manufacturing adoption and personalized medicine trends.
Factor & Theme
Exposure to AI-assisted design, advanced manufacturing, and healthcare innovation. Technology sector is the market leader this week (+5.4% vs SPY), providing strong sector tailwind. 3D printing theme has been consolidating but AI integration (generative design, simulation) could reaccelerate adoption-MTLS is positioned at the software layer to capture this.
Breakout Signal
Close above \$8.50 on vol >2.6x of 20d avg
Institutional
Volume 2.63x average on a +6% day signals real accumulation. RS line at new high confirms institutional sponsorship rotating into this micro-cap leader. No insider buying in last 90 days and \$490M market cap with 23M float suggest room for incremental fund buyers as the story re-rates. Technology sector preference provides incremental bid.
Earnings
Earnings in 33D
Earnings Context
Next print October 28 (33 days). Consensus unavailable but proximity to 52W highs and +14.4% 12W RS vs SPY suggest positive estimate revisions are already underway. Company needs to confirm margin leverage from software mix shift to justify valuation re-rating.
Key Risk
Thesis invalid on a close back below \$7.85 (approximate consolidation support), or on any medical segment slowdown or margin disappointment at the October 28 print. Micro-cap liquidity (\$490M) creates headline risk; any dilutive capital raise would crater the setup.
Analysis
RS line at new high, prox_52w 99.5%, and Technology sector leadership are compelling, but base_tight at 3.3 (above the 2.0 ideal) and only 2.63x volume (not the >3x that defines A-grade institutional urgency) keep this at strong B. Strongest disconfirming evidence: \$490M market cap with zero insider buying and no obvious near-term catalyst beyond earnings in 33 days. In a Large-Cap Leadership regime, micro-caps need perfect setups-this is very good but not textbook. Conviction: Medium.
Signal: Close above \$8.50 on vol >2.6x of 20d avg
Vol vs Avg: 2.63x



WTTR

Select Water Solutions, Inc.

\$20.21

+3.48%

RS vs SPY: -1.0%

B STRONG SETUP

\$2.9B Cap | 122M Float

Oil & Gas Equipment & Services | Theme: Oilfield Water Management | 52W Hi: 90% | Base Tight: 1.91 | Vol: 2.29x | RS/SPY: -1.0% | Above 20MA: YES | EARNINGS IN 39D

SETUP METRICS	
Price	\$20.21
Day Change	+3.48%
Mkt Cap	\$2.88B
Float	122M sh
RS vs SPY	-1.0%
52W Hi Prox	90%
Base Tight	1.91
Vol vs Avg	2.29x
RS Line Hi	no
Above 50MA	YES
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Current: Volume surge (2.29x) and tight consolidation (base_tight 1.91) near 52W highs suggest accumulation ahead of earnings or oil price catalyst. Forward: November 3 earnings (39 days) with opportunity to show margin expansion from water recycling/produced water handling as drilling activity stabilizes; any Permian contract wins or water infrastructure investment announcement would provide legs.

BUSINESS & POSITION

Select Water Solutions provides water management and chemical solutions to oil & gas operators, specializing in produced water handling, recycling, and disposal. The company benefits from ESG-driven shift to water recycling and has predictable cash flows tied to Permian basin activity.

FACTOR & THEME

Energy infrastructure play levered to U.S. shale production and water scarcity/ESG trends. Theme momentum is neutral-to-positive as oil stabilizes above \$70 and water recycling regulations tighten. Energy sector is not leading but WTTR's oilfield services exposure provides leverage to any uptick in completion activity.

BREAKOUT SIGNAL

Close above \$20.21 on vol >2.3x of 20d avg

INSTITUTIONAL

Volume 2.29x on a modest +3.5% move and base_tight 1.91 (textbook VCP coil) signal quiet institutional accumulation-classic silent-build pattern. Large 121.8M float and \$2.88B market cap mean this requires sustained fund buying to move, but the coil suggests supply has been absorbed. No insider buying is a yellow flag given management should have conviction at these levels.

EARNINGS

EARNINGS IN 39D

EARNINGS CONTEXT

Next print November 3 (39 days). Consensus unavailable but the tight base near highs suggests the Street is constructive. Company needs to show volume growth from recycling contracts and margin expansion to justify a re-rating from the current oilfield services multiple.

KEY RISK

Thesis invalid on a close back below \$18.50 (base support), or on any Permian activity slowdown or margin compression at the November 3 print. Oil price breakdown below \$65 WTI would kill the setup as drilling activity would contract.

ANALYSIS

Base_tight 1.91 and 2.29x volume on a coil breakout are elite technical signals, but RS_line_new_high is false and rs_vs_spy is slightly negative (-1.0), meaning this is not leading the market. Strongest disconfirming evidence: Energy is not a leading sector, no insider buying, and RS underperformance suggests institutions are not treating this as a priority. The coil and volume suggest a tradeable setup but not high-conviction in a Large-Cap Leadership regime. Conviction: Medium.

Signal: Close above \$20.21 on vol >2.3x of 20d avg

Vol vs Avg: 2.29x

